

DEBT & EQUITY

A \$76.8M Construction Loan in Jacksonville Beach Tests the Limits of Bank Appetite

The deal reveals that regional banks are still lending for ground-up development, but only on terms that shift interest-rate risk to the borrower.

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A source-grounded Light Tower Insight.

A \$76.8 million construction loan for a 415-unit apartment project in Jacksonville Beach closed because a regional bank was willing to underwrite a four-year floating-rate structure on a development that will not deliver its first units until late 2028. That sentence contains the entire market tension.

The deal is not a vote of confidence in Florida multifamily broadly. It is a vote of confidence in this specific basis, this sponsor, and this lender's current appetite for construction exposure. The terms reveal exactly how regional banks are pricing development risk in mid-2026: with a short fuse and a floating coupon that transfers interest-rate uncertainty to the borrower.

JLL Capital Markets, led by Mark West, arranged the financing through Ameris Bank on behalf of Trevato Development Group. The loan is four years and floating rate. Trevato broke ground July 1 and expects first deliveries in the fourth quarter of 2028. That means the loan matures roughly when the project reaches initial stabilization, leaving no room for leasing delays or rent-up friction.

The four-year term is the most revealing number in the story. A typical construction loan for a project of this scale and timeline might run five to seven years, giving the sponsor a cushion to lease up, stabilize cash flow, and secure permanent financing. Four years implies the lender expects the project to hit its underwriting metrics quickly or the sponsor to have a credible exit before the note matures. It also suggests Ameris Bank is managing its construction book with a tight leash, unwilling to lock capital into a longer commitment at a time when rate and cost uncertainty remain elevated.

The floating-rate structure reinforces that discipline. Construction loans are almost always floating, but the spread and index matter. With the Secured Overnight Financing Rate still elevated relative to pre-2022 levels, the borrower is carrying the full cost of monetary policy uncertainty. If rates stay where they are or rise further, Trevato's interest expense during construction will increase, compressing the project's projected return. The lender is protected.

That is the capital mechanism at work. The bank is not making a long-term bet on Jacksonville Beach rents in 2030. It is making a short-term bet on Trevato's ability to execute construction on schedule, lease 415 units at projected rents, and refinance or sell before the note matures. The loan is structured to minimize the bank's duration risk and interest-rate risk. The borrower absorbs both.

The location along Beach Boulevard in Jacksonville Beach is a defensible one. The submarket has strong demographic tailwinds, limited new supply relative to the broader Jacksonville MSA, and a rent base supported by coastal demand and job growth in logistics, healthcare, and professional services. A 989-square-foot average unit size suggests a focus on renters by choice, not necessity, which supports the underwriting. The 1,800 square feet of retail is negligible, likely a ground-floor amenity rather than a material income driver.

But the project's viability depends on execution, not location. Trevato broke ground on July 1, meaning it has already committed equity and secured entitlements. The first units arrive in late 2028, which is far enough out that the demand picture could shift. Construction costs, while moderating from 2023 peaks, remain elevated. Labor availability in the Southeast is tight. Any delay in delivery compresses the already tight window between stabilization and loan maturity.

Who should care about this deal? Other sponsors seeking construction financing should watch the terms closely. If four-year floating structures become the norm for regional bank construction loans, developers will need to underwrite a faster lease-up and a more certain exit than they did in the 2021 era of five-year fixed-rate construction debt. Lenders with construction exposure should watch Ameris Bank's willingness to lend at this basis as a signal that regional banks are selectively reopening the construction lending window, but only for projects with strong sponsorship and a clear path to stabilization.

The deal also tests the broader question of whether regional banks can regain market share in construction lending after pulling back sharply in 2023 and 2024. Ameris Bank is not a national

player. It is a regional institution with a defined footprint and a relationship-based underwriting approach. That is exactly the kind of lender that can move when national banks are constrained by regulatory scrutiny or balance sheet limits. But the terms suggest the bank is moving cautiously, with a structure that limits its own risk while demanding the borrower deliver on time and on budget.

The unanswered question is what happens in 2029. If Trevato stabilizes the property at a 5.5 percent to 6 percent cap rate and interest rates have fallen, a refinancing into agency debt or a sale to a core investor is plausible. If rates remain elevated or the lease-up is slower than projected, the four-year maturity becomes a constraint. The borrower will need to extend, recapitalize, or sell into a market that may not offer a friendly bid.

For now, the deal is a reminder that construction lending has not disappeared. It has become more expensive, shorter, and more conditional. The bank is willing to finance the building. It is not willing to finance the uncertainty.